Fix & Flip Financial Analysis

84 Inlet Drive, Slidell, Louisiana 70458

Joint Venture: Newtree Capital Resources LLC (Party A) & Run Global Services LLC (Party B) — "Newtree Capital Global Services / 84 Inlet Dr." (JV Agreement Rev. 7)
Lender: Cogo Capital — Preliminary Term Sheet, July 21, 2026 (non-binding)
Requested Closing Date: July 31, 2026
Prepared: August 2, 2026

This analysis projects project costs and returns from closing through the rehab period to sale. Figures pulled directly from source documents (Cogo Capital term sheet, construction budget, Loan Estimate Cost Worksheet, and JV Agreement Rev. 7) are shown in black; timeline and disposition figures not yet confirmed are called out in red. Payout follows the JV's actual §8 profit waterfall — title interest (51% Party A / 49% Party B) is for lender and title-holding purposes only and does not determine the profit split. This is an internal planning analysis, not a commitment to lend, a valuation, or legal advice.

Key Deal Metrics

Metric	Value
Purchase Price	$335,000
After Repair Value (ARV)	$610,000
Total Rehab Budget	$77,500
Total Project Cost (Purchase + Closing + Rehab)	$425,128
Party A Total Capital Invested (§8(d) equity + Exhibit B)	$74,729
Net Project Profit	$118,271
Return on Party A Capital Invested	158.3%
Annualized ROI (6-month hold)	316.5%

Reads as strongly viable on the assumptions modeled: a projected net profit of $118,271 against Party A's $74,729 total invested capital ($55,729 initial equity plus a $19,000 Exhibit B contribution for the proposed carry-extension reserve), driven by the spread between purchase price ($335,000) and ARV ($610,000). The distribution between Party A and Party B is NOT a simple 51/49 split — it follows the 8-step §8 waterfall detailed below, which is considerably more favorable to Party A than title percentage alone would suggest. Confirm the flagged assumptions before treating this as final.

Funding Requirements Summary — Closing, Operating Costs & Shortfalls

The three questions that matter for funding this deal: what do we need at closing, what do we need to carry it through the hold period, and where — if anywhere — is there a gap neither the loan nor the JV's existing funding provisions cover.

1. Closing Costs — Cash Needed to Close

Item	Amount
Purchase Price	$335,000.00
Loan Closing Costs (origination, processing, prepaid interest)	$12,627.50
Rehab Budget (financed via monthly lender draws, not cash at closing)	$77,500.00

Total Project Cost (at closing)	$425,127.50
Less: Cogo Capital Loan	($371,250.00)
Less: Seller / Broker Credits	($10,000.00)
Less: Earnest Money Deposit (already applied)	($1,000.00)
CASH NEEDED TO CLOSE	**$42,877.50**

2. Operating Costs — Cash Needed to Carry the Deal

Item	Amount
Lender-Required Payment Reserve (first 3 months, funded at closing)	$12,056.34
Additional Loan Interest, Months 4-6 (beyond the 3-month reserve)	$12,056.34
Property Tax — full 6-month hold	$2,791.00
Insurance (incl. flood) — full 6-month hold	$2,300.00
Utilities — full 6-month hold	$900.00
HOA Dues — full 6-month hold	$750.00
TOTAL OPERATING COST NEED (6-MONTH HOLD)	**$30,853.68**

Party A's proposed §6a(ii) carry-extension reserve ($19,000) plus the §6a(iii) 3-month reserve ($12,710.73) — $31,710.73 combined — covers this operating cost need with a small buffer.

3. Possible Shortfalls

Funding Need	Amount	Covered By	Gap
Cash to close	$42,878	Nothing in the JV's current funding provisions	$42,878
Operating costs, months 4-6	$18,797	Proposed §6a(ii) carry-extension reserve ($19,000)	($203)
TOTAL REAL SHORTFALL			**$42,878**

Bottom line: the one real, unaddressed shortfall is the $42,877.50 needed to close. *Nothing in the JV's existing or proposed funding language (§6a) covers it — that provision was written when the prior loan term sheet handled closing costs differently, and the current Cogo Capital term sheet shifts that cost onto the JV. The operating-cost side is essentially solved, assuming the proposed $19,000 carry-extension reserve is adopted. A source for the $42,877.50 — additional Party A cash, a Party B contribution, or another provision — needs to be identified before closing.*

Sources & Uses of Funds

Uses of Funds

Use	Amount
Purchase Price	$335,000.00
Loan Closing Costs (origination, processing, prepaid interest)	$12,627.50
Rehab Budget	$77,500.00
Total Project Cost (at closing)	$425,127.50
Lender-Required Payment Reserve (3 months)	$12,056.34

Additional Loan Interest Beyond Reserve (month 4 onward)	$12,056.34
Property Tax — full hold period ($5,582/yr)	$2,791.00
Insurance — full hold period ($4,600/yr, incl. flood)	$2,300.00
Utilities — full hold period	$900.00
HOA Dues — full hold period ($1,500/yr)	$750.00
Total Holding-Period Cash Requirement	$30,853.68
TOTAL USES OF FUNDS	**$455,981.18**

Sources of Funds

Source	Amount
Cogo Capital Loan	$371,250.00
Seller / Broker Credits	$10,000.00
Earnest Money Deposit (already applied)	$1,000.00
JV Capital Required (cash to close + reserve + holding overage)	$73,731.18
TOTAL SOURCES OF FUNDS	**$455,981.18**

IMPORTANT: *The JV's original §6a(ii)/(iii) language ($78,000 + $12,710.73) was drafted against a PRIOR term sheet that covered closing costs differently. The current Cogo Capital term sheet requires the JV to bring* ***$42,877.50*** *cash to close itself — a gap §6a was never written to address. Separately, the carrying-cost reserve under the proposed §6a(ii) revision was originally scoped at $15,000 as a draw-delay backstop, but since it will in practice be drawn down to extend carrying-cost funding into months 4-6 (need: $18,797.34), it has been sized up to* ***$19,000*** *to cover that need with a small $203 buffer. With that fixed, the* ***total real uncovered gap simplifies to the $42,877.50 cash-to-close requirement*** *— this is what needs a funding source before finalizing the §6a(ii) amendment: additional Party A cash, a Party B contribution, or another dedicated cash-to-close provision. This is also a different figure from the $55,729.16 'out-of-pocket equity' used in the §8(d) waterfall at sale, which nets total acquisition cost against the loan rather than tracking cash funded upfront. Separately, this $19,000 carry-extension reserve is now modeled as an actual Exhibit B (§8(e)) contribution, so it earns its own 15% return in the waterfall — see Disposition & Returns.*

Rehab Budget

Sourced from the Cogo Capital construction budget template for 84 Inlet Dr (51 itemized line items). This reconciles exactly to the $77,500 rehab budget in the loan term sheet. The Loan Estimate Cost Worksheet lists a rounder $77,000 'hard construction amount' — the itemized figure is used throughout as the more granular source.

Category	Budgeted Cost	% of Rehab Budget
Exterior	$30,850	39.8%
Interior / Structural	$7,200	9.3%
Kitchen	$3,500	4.5%
Bathroom	$1,500	1.9%
Plumbing	$2,950	3.8%
Systems (Electrical / HVAC)	$5,750	7.4%
Flooring	$13,200	17.0%
Admin / Contingency	$12,550	16.2%
TOTAL REHAB BUDGET	**$77,500**	**100.0%**

Largest individual line items: Weatherization $14,000 (window leaks / worn trim), Linoleum/Vinyl/Laminate $10,000, Exterior Painting $6,700, Contractor Contingency $7,000, Interior Painting $3,800, and HVAC service $3,100. The full 51-item breakdown with scope notes is in the accompanying spreadsheet's Rehab Budget tab.

Monthly Cash Flow — Closing Through Sale

Projected month-by-month cash flow, from closing (Month 0) through the end of the assumed 6-month hold (4 months rehab, 2 months marketing/close). Per Harold: rehab is paid by the JV each month and reimbursed by the lender on the 1st of the FOLLOWING month — one month in arrears. This creates a sustained float of one month's outlay ($19,375), held from Month 1 through Month 4 and fully recovered by Month 5, rather than a same-month wash. It still nets to $0 across the full hold period. Holding costs use confirmed annual tax/insurance/HOA figures from the Loan Estimate Cost Worksheet.

Line Item	Mo. 0	Mo. 1	Mo. 2	Mo. 3	Mo. 4	Mo. 5	Mo. 6	Total
Purchase Price	335,000	-	-	-	-	-	-	335,000
Loan Closing Costs	12,628	-	-	-	-	-	-	12,628
Rehab Outlay (paid upfront)	-	19,375	19,375	19,375	19,375	-	-	77,500
Rehab Reimbursement (following month)	-	-	(19,375)	(19,375)	(19,375)	(19,375)	-	(77,500)
Loan IO Payment	-	4,019	4,019	4,019	4,019	4,019	4,019	24,113
Tax / Insurance / Utilities / HOA	-	1,123	1,123	1,123	1,123	1,123	1,123	6,741
Less: Credits & EMD Applied	(11,000)	-	-	-	-	-	-	(11,000)
Monthly Cash Outflow	**336,628**	**24,517**	**5,142**	**5,142**	**5,142**	**(14,233)**	**5,142**	**367,481**
Cumulative Cash Invested	**336,628**	**361,145**	**366,287**	**371,429**	**376,572**	**362,339**	**367,481**	

Peak rehab float required (sustained Months 1-4, one month's outlay held at a time): $19,375 — this is the number that matters for working-capital planning, since the cumulative total fully recovers by Month 5. This table reflects gross project cash flow timing (not netted against loan financing beyond the rehab reimbursement).

Disposition & the JV §8 Profit Waterfall

The JV Agreement (Rev. 7) explicitly states that title interest (§3, 51% Party A / 49% Party B) is for lender and title-holding purposes only and does NOT determine the profit split. Section 8 instead sets out an 8-step waterfall governing every dollar of sale proceeds. This model reflects two changes from the executed Rev. 7 text, both proposed by Harold and not yet reflected in a signed amendment: the preferred return is modeled at **15%** (Rev. 7 says 20%), the residual split at **20% Party A / 80% Party B** (Rev. 7 says 15%/85%), and a new **contingency clause** is added: Party A remains the intended, primary equity funder, and Party B only fronts capital as a fallback if Party A's actual available capital falls short of the full equity requirement. The base case below assumes Party A funds the full amount (no shortfall).

Every step below is capped at cash actually remaining — Party A's preferred return (§8(d)) is paid first, in priority order, and each subsequent step (contingency, §8(e)-(h)) only receives what's left. If proceeds run short, later steps pay $0 rather than going negative — nobody can be forced into a negative distribution without an explicit clawback clause, which this agreement does not have.

§8(a) Sale Proceeds

Item	Amount
Target Sale Price (= ARV)	$610,000.00
Less: Selling Commission (6.0%)	($36,600.00)
Less: Selling Closing Costs (1.5%)	($9,150.00)
Net Sale Proceeds (available for §8(b)-(h))	**$564,250.00**

§8(b)-(c) Lien Payoffs

Item	Amount
§8(b) Primary Lien Holder (loan payoff)	$371,250.00
§8(c) Secondary Lien Holder	$0.00
Remaining After Liens	**$193,000.00**

§8(d) Party A — Equity Return + 15% Preferred Return (Base Case: Party A Funds in Full)

Item	Amount
Total Acquisition Cost (Party A Total Capital Exposure, Exhibit A)	$426,979.16
Less: Primary Lien Repaid at §8(b)	($371,250.00)
Party A Full Equity Requirement	$55,729.16
Party A Actual Available Capital (base case = full amount)	$55,729.16
Shortfall Covered by Party B Contingency	$0.00
Preferred Return: 15% x Total Capital Exposure (fixed — reflects full loan guarantee)	$64,046.87
§8(d) Total to Party A	**$119,776.03**

The 15% preferred return is fixed on Party A's full Total Capital Exposure regardless of how much equity cash they actually contribute — Party A personally guarantees the entire loan, so the preferred return compensates for that risk, not just the cash put in. Only the return-of-capital piece scales down if a contingency is triggered (see below).

§8(e)-(g) Additional Contributions, Rehab Reimbursement & Management Fee

Item	Amount
§8(e) Exhibit B — Carry-Extension Reserve Contribution	$19,000.00
Return on Exhibit B Contribution (15%)	$2,850.00
§8(e) Total to Party A	$21,850.00
§8(f) Party B — Unreimbursed Rehab Costs + 15% Return (none logged)	$0.00
§8(g) Party B — Management Fee (4% of $426,979.16 fee base)	$17,079.17

The $19,000 proposed §6a(ii) carry-extension reserve is modeled as a real Exhibit B contribution — the JV Agreement's actual mechanism for logging Party A capital beyond the initial equity requirement — so it earns its own 15% return here rather than sitting outside the waterfall.

§8(h) Residual Split — 20% Party A / 80% Party B

Item	Amount
Remaining After Steps d, Contingency, e, f, g	$34,294.80
Party A Share (20%)	$6,858.96
Party B Share (80%)	$27,435.84

Total Distributions & Net Profit — Base Case (Party A Funds in Full)

Party	Total Distribution	Amount Invested	Net Profit
Party A (Newtree Capital)	$148,485	$74,729	$73,756
Party B (Run Global Services)	$44,515	$0	$44,515
TOTAL	**$193,000**	**$74,729**	**$118,271**

Contingency Mechanism — Party B Covers Whatever Gap Remains

The contingency is not a fixed dollar commitment from Party B. It's defined purely as a gap: Party A's full equity requirement ($55,729.16) minus whatever Party A actually contributes. Whatever that gap turns out to be, Party B's contingency payment scales with it automatically — return of that capital plus a 15% premium. Party A's preferred return is unaffected either way, since it's tied to the loan exposure Party A guarantees, not to the equity cash contributed. Critically, only Party B's contingency PRINCIPAL is removed from the pool before the §8(h) residual split — her 15% premium is charged directly to Party A's share afterward, so it lands with her in full rather than being diluted through the shared 20%/80% split (which would otherwise hand 80% of her own premium back to her from her own share).

One illustrative data point, not a projection or commitment: if Party A's actual contribution turned out to be $30,000, the resulting gap would be $25,729.16, and the numbers would land as follows. A different Party A contribution produces a different gap and different numbers — the workbook's 'Party A Actual Available Capital' input recalculates all of this for any amount.

Party	Total Distribution	Amount Invested	Net Profit
Party A (Newtree Capital)	$118,896	$49,000	$69,896
Party B (Run Global Services)	$74,104	$25,729	$48,374
TOTAL	**$193,000**	**$74,729**	**$118,271**

Note that total deal profit ($118,271) never changes between scenarios — only which party earns it. The contingency scenario shifts the full $3,859.37 premium from Party A to Party B relative to the base case, reflecting Party B's added capital risk. The 'Party A Actual Available Capital' input on the Assumptions tab of the workbook controls which scenario is active — set it to the full $55,729.16 for the base case, or lower to test a shortfall. This contingency mechanism, the 15% preferred return, and the 20%/80% residual split are all proposed changes from the executed Rev. 7 text and require a signed amendment before they're binding. The primary lien payoff amount and Party A's full equity requirement are both marked 'need to verify' in the executed JV Exhibit A — the $371,250 figure here carries over from the Cogo Capital term sheet.

Downside Risk — Who Absorbs a Low Sale Price

Because §8(d) (Party A's preferred return) sits ahead of §8(g) (Party B's management fee) and §8(h) (the residual split) in priority order, Party A is protected first if the sale price disappoints — Party B absorbs shortfalls before Party A does, not the other way around, and without an explicit clawback clause neither party can be forced into a negative distribution.

Threshold	Sale Price	What happens
Total deal break-even	$482,140	Combined profit hits $0 — same regardless of residual split
Party B's real zero point	$554,461	Below this, Party B gets $0 (not negative). Party A's §8(d) preferred return AND their §8(e) Exhibit B contribution (the $19,000 carry-extension reserve) must both be fully paid first — Party B absorbs the shortfall down to zero.
Party B's mgmt fee fully covered	$572,924	Party A fully paid (both §8(d) and §8(e)); Party B's management fee now fully funded, no residual yet

*The 20%/80% vs. 85%/15% residual split makes **no difference below $572,924** — there's nothing left for step (h) to split until Party A's preferred return, Exhibit B contribution, and Party B's management fee are all fully paid first. The split only matters above that price. This is a structural feature of the priority order, not something either residual-split ratio changes. Note these thresholds are all higher than before the Exhibit B fix, since Party A's $19,000 carry-extension reserve now sits ahead of Party B's management fee in the priority order — Party B needs a stronger sale to start seeing any return.*

Assumptions & Open Items

The figures below come directly from source documents and are treated as fixed inputs:

- Purchase price $335,000, ARV $610,000 — Cogo Capital term sheet / Loan Estimate Cost Worksheet. As-Is value updated to $562,530 per the Loan Estimate Cost Worksheet (was $564,000 on the earlier term sheet).
- Loan amount $371,250 at 12.99% simple interest-only, 2.99 origination points; total closing costs $12,627.50; monthly IO payment $4,018.78; 3-month reserve $12,056.34 — Cogo Capital term sheet.
- Rehab budget $77,500 across 51 itemized line items — Cogo Capital construction budget template.
- Annual property tax $5,582, insurance (incl. flood) $4,600, HOA dues $1,500 — Loan Estimate Cost Worksheet.
- JV Agreement Rev. 7, §8: full 8-step profit waterfall (not a flat 51/49 split). Total Acquisition Cost / Party A Total Capital Exposure of $426,979.16 and 4% Party B management fee — Exhibit A and §8.

The figures below are still analyst estimates, proposed (unsigned) amendments, or unresolved items from the source documents themselves — confirm or adjust them before treating the returns as final:

- *Hold period: 4 months rehab + 2 months marketing/closing = 6 months total — analyst assumption.*
- *Utilities $150/mo remains a placeholder (only line in holding costs not sourced from a document).*
- *Selling commission 6.0% and selling closing costs 1.5% of sale price — analyst assumption.*
- *Target sale price set equal to ARV ($610,000) — actual list/sale price is unconfirmed until listed.*
- *Preferred return modeled at 15% (executed Rev. 7 says 20%) and residual split at 20% Party A / 80% Party B (Rev. 7 says 15%/85%) — both proposed by Harold, not yet reflected in a signed amendment.*
- *Contingency clause (Party B fronts capital only if Party A comes up short) is a new mechanism not present in Rev. 7 at all — needs to be drafted and executed as an amendment before it has any legal effect.*
- *Primary lien payoff amount at §8(b) and Party A's exact out-of-pocket equity are both marked 'need to verify' directly in the executed JV Exhibit A — not yet filled in by the Parties.*
- *Exhibit B (Party A additional contributions) and §8(f) (Party B unreimbursed rehab costs) are both currently $0 — update as actual costs are incurred and logged per the agreement's notice/objection procedure.*
- *The $78,000 '§6a(ii) Party A Funding' figure on the Assumptions tab is a lump sum from the ORIGINAL JV text (Party A funds it all within 5 days of closing) — it likely predates and is inconsistent with the monthly-reimbursement rehab structure now modeled. Party A may only need the ~$19,375 monthly float, not this full $78,000. Reconcile with Cogo Capital before relying on either figure.*

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